

Innovating internally

TIP

BUILD A VISION

Make sure people understand the “big picture”—what you are trying to achieve with innovation. Once it’s clear what the challenge is, they can contribute their creativity and energy to help make it happen.

An overall innovation strategy matters if you are competing with other organizations in the marketplace. But it is just as important to have a strategy inside the organization, to help prioritize changes you make to the ways you do things—or process innovation. This will help you to avoid a situation where you spend your energy improving irrelevant details while leaving the really important changes undone—a bit like rearranging the deckchairs on the *Titanic*.

Innovating across the board

It is not just commercial organizations that need an innovation strategy. Our public services desperately need creative ideas for change to deal with problems like education, healthcare, transportation—but simply spending scarce taxpayers’ money on any project that looks interesting is not a good recipe for long-term improvement in those services. We need focused change, targeted at what will make a real difference. And they need the discipline to manage what can be huge projects: to complete them on time and within budget, and, if necessary, to kill them off before they become potential high-profile disasters.

CASE STUDY

Innovation with impact

India’s Aravind Eye Clinics revolutionized treatment of eye problems like cataracts, which caused preventable blindness for around 45 million people. The operation to treat it is relatively simple but costs around \$300—well out of the reach of the rural poor. But through a systematic series of process innovations targeted at

reducing cost without compromising quality, the average cost came down to \$25. This sustained pattern of innovation continues, and with around 250,000 operations performed every year, these clinics have become “best practice” centers for such surgery, with doctors coming from around the world to learn from them.